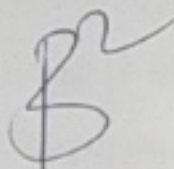


Law of Banking and Negotiable Instrument Lecture Note



Introduction

- **Law of banking and negotiable Instrument:** is a special area of commercial law which governs various commercial transactions involving banks and their activities, negotiable instruments such as checks, shares or stocks and warehouse goods deposit certificates
- The course has two major parts. The 1st one is Law of banking and the 2nd one deals with Negotiable instruments.
- Law of banking incorporates laws dealing with the following
 - ✓ Definition of banking and banking transaction
 - ✓ Requirements for establishment of banking business
 - ✓ Various types of banks and their functions
 - ✓ 'powers and duties of central or national bank

Chapter one: Law of Banking: General Over view—Art 896-967 com. code

Definition

Brain storm:- Is there any definition given for the term "Bank" under Ethiopian Commercial code?

Some writers define Bank: as refers to an institution that *deals in money* and its substitutes and *provides other financial services*

- Different Authors and Economists have given some structural and functional definitions for Bank from different perspectives:

Cairn Cross "Bank is a financial intermediary institution which deals in loans and advances"

R.P. Kent—Bank is an institution which collects idle money temporarily from the public and lends to other people as per need."

W. Hoek--Bank is such an institution which creates money by money only.

Sir John Pagette---Bank is such a financial institution which **collects money in current, savings or fixed deposit account; collects cheques** as deposits and pays money from the depositors' account through cheque.

- ✓ **Indian Company Law 1936** defines Bank as "a bank is a company which receives deposits through current account or any other forms and allows withdrawal through cheques or promissory notes."

Discussion: what are the drawback of those definitions given by the above scholars?

•Ethiopian Concern

There is no definition given for the term "Bank" under Ethiopian commercial code. However, the Banking Business Proclamation No. 592/2008 and Establishment Proclamation of National Bank Pro. No 591/2008 defines the term 'Bank' as follows.

- Bank: means a company licensed by the National Bank to undertake banking Business or bank owned by the Government—Art 2(1), Proc. No. 592/2008 & Art
- **Banking Business**—means any business that consists of the following activities: Art 2(2)
 - ✓ Receiving funds from the public
 - ✓ Using the funds for loans, or investment in a manner acceptable by National Bank.
 - ✓ buying and selling of gold and silver and foreign exchange
 - ✓ transfer of fund to other local and foreign persons
 - ✓ the discounting and negotiation of promissory notes, drafts, bills of exchange
 - ✓ Any other activity recognized as customary banking business, which a bank engaged in the activities described from paragraph (a) to (e) of this sub-article may be authorized to undertake by the National Bank;

National Bank: means the National Bank of Ethiopia, which is the central bank of the country—
Art 2(12) of proc. No. 591/2008

- Art 5—Powers and duties of National Bank.
- Art 5(7)—license and supervise banks, insurance and other financial institutions.

General Objectives of Banks

- Profit maximization and conducting overall economic activities
- Collecting saving or idle money from the public at lower rate of interest and lending at higher rate of interest.
- Crating propensity of saving amongst the people.
- To build up capital through savings.
- To expedite investments.
- To maintain economic stability by means of controlling money market
- To assist the Govt. for trade & business and socio-economic development.
- To issue and control notes and currency as a central bank
- To maintain and control exchange rates as a central bank.

2. Historical Development of Banking system in general and birth of banking service in Ethiopia

- ❖ The history regarding the origin of „Bank, even after the twelfth century, is not also clear which has been based on guesses. According to some writer the word „Bank“ was derived from Italian term „Banco“ and French term „Banque“ or „Banc“ all of which mean a bench upon which the mediaeval European Money-lenders and Money - Changers used to display their coins.
- ❖ In the Mediaeval age Italian states were sound and solvent economically and commercially. At that time a group of people used to conduct business of transaction of money sitting on a stool or bench which was replaced by „Banco,“ „Banko“ „Banca“ „Bangk“, „Bancus“
- ❖ In the later age, an English writer Maclead challenged the above concepts. His contention was that the money-lenders and money-changers used to display their coins which were not termed as „Banco“, „Banque“, „Banke“, „Banca“. However, Banco in Italy and Banke in German and Australia were understood as public debt or issue of paper money.

In his opinion, these words were used for the purpose of economic activities of different countries of Europe

- ❖ Another British writer **Chamber**, in his **Twentieth Century Dictionary**, very clearly stated that the word „Bank“ is derived from **Banca** and **Banque**.

The French still uses „Banque“ in place of the word „Bank

- ✓ Anyhow this word has been in use from the middle ages in connection of a bank.

Modern Banking

- ✓ **Introduced from the primitive stages of human civilization** in some way or other in the world. Different archaeological symbol are evidence for it. Different cons were found in the place evidence for civilization. Eg, Egyptian pyramid and different countries monuments.
- ✓ **Introduction of coin from ancient times**: At that time excess residual coins were kept with the religious and local elite persons for the purpose of extending help to the needy poor people. *as person* *forward speaker*
- ✓ **Extension of trade and business**: Because of Middle-East and Europe progressed tremendously in middle age, and thus banking business improved for their smooth functioning of transaction.
- ✓ **Various Religion and Religious book**: Various information regarding banking business were also incorporated ;in holy Bible and Holy Quran.
- ✓ **The contributions of Goldsmith, money-lenders and the businessmen**:
- ✓ **Goldsmith**: is a metalworker who specializes in working with gold and other precious metals—used to act as custodians of the surplus funds of the general people of the society.
 - ✓ They were recognized as a symbol of honesty, sincerity, solvency and security
 - ✓ On receipt of money they used to issue receipts and on return of money they used to take acknowledgements.
 - ✓ Later on, these receipts were treated deposit slip and cheque respectively
 - ✓ The deposits receipts were undoubtedly acceptable and popular as notes of the Goldsmiths and afterwards converted into bank notes.
 - ✓ During the regime of King, the First Charles, in 1640, the reserve funds of the Goldsmiths with London Tower were confiscated.

- ✓ **Money lenders** (mahajan): they used to keep surplus money of the people and refund those in case of need. They took it as a profession and popular in Europe.
- ✓ They used to pay interest to the depositors and earn interest on loans
- ✓ They also used to take security, mortgage against loan.
- ✓ **Businessmen**: Business Class also played vital role for the growth and development of modern banking.
 - ✓ From the ancient periods the Business Class were trustworthy to the general people. They were honest, faithful and solvent.
 - ✓ As a result, general people used to deposit money to them for the safety and security of fund

Brief History Banking business in Ethiopia

- ❖ Modern banking in Ethiopia began in 1905 with the Bank of Abyssinia, a private company controlled by the Bank of Egypt.
- ❖ In 1931 it was liquidated and replaced by the Bank of Ethiopia which was the bank of issue until the Italian invasion of 1936.
- ❖ During the Italian occupation, Bank of Italy banknotes formed the legal tender.
- ❖ Under the subsequent British occupation, Ethiopia was briefly a part of the East Africa Currency Board.
- ❖ In 1943, the State Bank of Ethiopia was established, with 2 departments performing the separate functions of an issuing bank and a commercial bank.
- ❖ In 1963, these functions were formally separated and the National Bank of Ethiopia (the central and issuing bank) and the Commercial Bank of Ethiopia were formed.
- ❖ In the period to 1974, several other financial institutions emerged including the state-owned:
 - ✓ The Agricultural and Industrial Development Bank (established largely to finance state-owned enterprises)
 - ✓ The Savings and Mortgage Corporation of Ethiopia
 - ✓ The Imperial Savings and Home Ownership Public Association (which provided savings and loan services)
- Major private commercial institutions, many of which were foreign owned, included

- ✓ The Addis Ababa Bank
- ✓ The Banco di Napoli
- In addition, there were several insurance companies
- ✓ The Banco di Roma
- ❖ The shift to Marxist government in 1975 brought several changes to the banking system, and saw the nationalization of private banks and insurance companies.
- ❖ The major 3 commercial banks were merged under the Addis Ababa Bank, and the National Bank of Ethiopia was given oversight over all financial institutions.
- ❖ The Ethiopian Insurance Corporation incorporated all the nationalized insurance companies and the new Housing and Savings Bank provided loans for new home construction and home improvements.

Current Conditions

- ❖ Banking business is not opened for foreign investors, thus no foreign bank in the country.
- ❖ The financial system of Ethiopia is very underdeveloped though different domestic banks are expanded
- ❖ There is no stock exchange (capital market) and state owned and dominated the sector.
- ❖ The state-owned Commercial Bank of Ethiopia is the largest bank in Ethiopia and controls 2/3 of the assets of the entire banking system.
- ❖ As of June 2015, the bank had about 303.6 billion Birr in assets and held approximately 67% of deposits and about 53% of all bank loans in the country.
- ❖ The Central Bank has a monopoly on all foreign exchange transactions and supervises all foreign exchange payments and remittances
- ❖ The Ethiopian banking sector is currently comprised of a central bank (The National Bank of Ethiopia or NBE), two government owned banks and sixteen private banks.
- ❖ In September 2011, NBE issued a regulation that increased the minimum paid up capital required to establish a new bank from 75 million Birr (\$3.4 million) to 500 million Birr (\$22 million), which effectively stopped the entry of most new banks to the market.

Lists of Banks in Ethiopia

	Bank Name	Web Site	Year Est.	No of Branches	SWIFT	Profit in birr
1	Abay Bank S.C.	http://www.abaybank.com.et/	2010	159 ^m	ABAYET AA	190,000,000.00 ^m
2	Addis International Bank	http://www.addisbanksc.com/	2011	54 ^m	ABSCET AA	92,254,680.00 ^m
3	Awash International Bank	http://www.awashbank.com/	1994	191	AWINET AA	861,000,000.00
4	Bank of Abyssinia	http://www.bankofabyssinia.com/	1996	233 ^m	ABYSET AA	534,700,000.00 ^m
5	Berhan International Bank	http://berhanbanksc.com/	2010	46	BERHET AA	131,000,000.00
6	Bunna International Bank	http://www.bunnabanksc.com/	2009	72	BUNAET AA	109,000,000.00
7	Commercial Bank of Ethiopia	http://www.combanketh.et/	1963	1192 ^m	CBETET AA	9,700,000,000.00
8	Cooperative Bank of Oromia(s.c.)	http://www.coopbankoromia.com.et/	2005	190	CBORET AA ^m	485,000,000.00
9	Dashen Bank	http://www.dashenbanksc.com	2003	146 ^m	DASHET AA	928,000,000.00

	Bank Name	Web Site	Year Est.	No of Branches	SWIFT	Profit in birr
10	Debub Global Bank	http://www.debubglobalbank.com/	2012	32	DEGAETAA	19,000,000.00
11	Development Bank of Ethiopia	http://www.dbc.com.et/home/	1909	43	DEETETAA	491,000,000.00
12	Enat Bank	http://www.enatbanksc.com/	2013	7	ENATETAA	39,000,000.00
13	Lion International Bank	http://www.anbesabank.com/	2006	67	LIBSETAA	128,000,000.00
14	Nib International Bank	http://www.nibbank-et.com/index.php	1999	98	NIBIETTA	420,000,000.80
15	Oromia International Bank	http://www.orointbank.com/	2008	115	ORIRETAA	205,000,000.40
16	United Bank	http://www.unitedbank.com.et/	1998	108	UNTDETA	350,000,000.00
17	Wegagen Bank	http://www.wegagenbanksc.com/	1997	211	WEGAETAA	478,000,000.00
18	Zemen Bank	http://www.zemenbank.com/	2009	1	ZEMEETAA	131,000,000.00
	Total			2357		14,425,000,000.00

3. Economic Benefits of Banking

Banks and other institutions play a critical role in any nation's economy by performing services essential to the functioning of any economy.

- ✓ **Safeguarding,**
- ✓ **transferring,**
- ✓ **lending,**
- ✓ **exchanging money in various forms, along with**
- ✓ **Evaluating creditworthiness of customers,** are the main functions that banks perform.

Each of these roles has a ripple effect in the economy that helps keep money moving.

1. Spreading the Wealth:

- ❖ The banking industry disseminates money among individuals, businesses, national, and global financial well-being.
- ❖ Although there are many ways that money moves around the economy, banks play a central role in establishing the financial environment.

2. Stabilizing the monetary supply are also important functions performed by banks. This industry builds and maintains financial relationships with customers of all sizes to supply financial products and services that stimulate economic growth.

2. Issuing Money:

- ❖ Banks issue money in the form of banknotes and current accounts subject to check or payment at the customer's order.
- ❖ These claims on banks can act as money because they are negotiable or repayable on demand, and hence valued at par.
- ❖ They are effectively transferable by mere delivery, in the case of banknotes, or by drawing a check that the payee may bank or cash.

3. Payment Agents:

- ❖ Banks borrow money by accepting funds deposited on current accounts, by accepting term deposits, and by issuing debt securities such as banknotes and bonds.
- ❖ Banks lend money by making advances to customers on current accounts, by making installment loans, and by investing in marketable debt securities and other forms of money lending.
- ❖ Banks act as payment agents by conducting checking or current accounts for customers, paying cheques drawn by customers on the bank, and collecting cheques deposited to customers' current accounts.

4. Money Transferring:

- ❖ Banks move money between banks, between banks and individual customers, between banks and industry, between banks and governments, and sometimes between governments.
- ❖ This motion of money throughout the nation and the world allows businesses to have access to capital.
- ❖ With capital to invest, businesses expand, job creation occurs, products are manufactured, services are performed, and the economy grows.

5. Distribution of Funds:

- ❖ Money is a medium of exchange and the basis of the modern economy. Banks play a huge role in the distribution of funds throughout society. Although there are many institutions involved in the movement of money today, banks remain fundamental to the flow of money that maintains local, national, and global economies.

6. Safeguarding Money:

- ❖ Safeguarding the holdings of people may be the oldest bank function.
- ❖ Long before banks existed, people looked for ways to secure their valuables, whatever the medium of exchange. Many of these you may easily imagine. Banks are generally accepted and believed to be a safer place for parking money.
- ❖ Ancient records indicate that about 4,000 years ago temples were in the business of lending and exchanging money. At that time, temples were acting as banks.

7. Guaranteeing the Money:

- ❖ Banks should ensure consumer protection, transparency, and responsible lending
- ❖ They must also ensure they take appropriate risks in their lending activities.
- ❖ In most countries, banks and the government work together to form the banking system and to make sure the money supply is adequate, appropriate, and trustworthy.
- ❖ Much of this guarantee is backed through the central banking function of the Central Bank of the Country.
- ❖ Individual banks also work with the government to implement monetary policy, perform exchange functions for citizens, defeat counterfeiters of currency, and prevent identity theft.

8. Record Keeping

- ❖ Record keeping is an important part of securing your money. Banks devote much time and attention to both the practice and technology of maintaining and storing accurate records.
- ❖ If banks expect you to let them hold and use your money, you expect them to keep careful track of it.

9. Security & Identification

- ❖ Identification is an important security function of banking.
- ❖ Obviously, you do not want unauthorized people walking in and taking money from your account, but the issue of security and identification goes far beyond the local branch.

- ❖ Identifying theft is a growing concern in the economy, and bank officials work closely with technology experts and law-enforcement agencies to prevent various forms of identity theft.
- ❖ With the increased reliance on the Internet for financial transactions, identity theft protections extend beyond conventional checking accounts to include online banking, automatic bill pay, and online shopping.

10. Enforcement:

- ❖ Enforcement is a part of safeguarding money that involves catching those who attempt to take it.
- ❖ It also includes tracking down fraud, making collections, and pursuing legal actions against those who inflict losses on the bank.
- ❖ Robbers, white-collar embezzlers, or people who default on loans are all included in the group targeted by enforcement efforts.

11. Plastic Money:

- ❖ Transfer security is important to banks. Although cash is still an important part of bank transactions, most money moves merely on computer screens.
- ❖ High-tech security measures are increasingly more critical to banking operations between banks and customers, between banks and banks, and between banks and the government.
- ❖ As all financial intermediaries become more dependent on electronic banking, technological security takes on a more significant role.

12. Exchange Rates:

- ❖ In international banking, exchange rates measure the relative strength of one form of currency against another. These variable rates are often indications of the strength of a nation's economic position.
- ❖ The ability to transfer sums of money between financial institutions safely and effectively depends on the stability of the institutions, the stability of the countries where the banks reside, and the security of the money supply itself.

13. Evaluating Creditworthiness:

- ❖ Banks play an important role in a productive economy, helping businesses and consumers take appropriate risk.

- ❖ Banks must lend money only to those who'll be able to repay those loans.
- ❖ A creditworthy customer has a good credit rating, sufficient collateral for loans, and an ongoing income source sufficient to make timely loan payments.

3. Types of Banking

Generally Banks are divided in two based on their objectives and functions: **Government Banks and Private Banks**

A. Government Banks:

- ✓ National bank
- ✓ Commercial bank
- ✓ Development bank

B. Private banks: Different banks established by the individuals for business purpose.

1. National Banks: Central bank

It has different name in different Countries, like

- ✓ In USA: U.S. Federal Reserve Bank
- ✓ In England: Bank of England
- ✓ In Japan: Bank of Japan
- ✓ In France: Bank of France

General objectives and purpose:

- ✓ Control currency market
- ✓ Regulating the size of a nation's money supply.
- ✓ Determine foreign-exchange value of its currency
- ✓ Regulation of the availability and cost of credit
- ✓ Stabilization of level of domestic prices, and an adequate level of international reserves.
- ✓ supervising the operations of the commercial banking system
- ✓ maintain gold standards/gold reserves

Discussion: Do you think that National bank works for profit? Why? If not, from where they get the capital resource/asset?

❖ There are six ways through which national banks will generate assets

1. **Open market operation:** through purchasing and sales of government securities or other eligible paper—government bond

- ✓ Effective instrument of monetary regulation only in countries with well-developed security markets.

Discussion: Do you think such way of capital generation is effective in Ethiopia? Why?, Why not?
Hint: think of the non-existence of institutionalized Capital market in Ethiopia.

2. **Loans to banks/generally called Discounts or re-discounts:** Short term advances against commercial paper or government securities to enable banks to meet temporary/seasonal needs
3. **Direct Government borrowing:**
4. **Buy and sell foreign exchange** to stabilize the international value of their own currency. They buy foreign currency with lower rate and sell with higher rate.
5. **Banks deposits against their liabilities:** Central bank would get asset from the deposit of other banks as reserve to satisfy their liabilities.
6. **Borrowing from banks and non-banks:-** In periods of intense inflationary pressure and shortage of supplies, especially during wartime and immediately thereafter.

⚡ The National Bank of Ethiopia

- ❖ created by order No 30/1963 and reconstituted by the Monetary and Banking Proclamation No 83/1994,
- ❖ Later on proclamation No. 591/2008 re-established the bank.
- ❖ Purpose of national Bank—Art 4 of proc. No. 591/2008
 - ✓ Maintaining stable rate of price and exchange
 - ✓ Foster healthy financial system
 - ✓ Undertake other related activities necessary for rapid economic development
- ❖ Power and duties of the bank—Art 5

- ✓ Printing coin and currency
- ✓ Dispose coins and notes issued legally
- ✓ Issue its own debt and payments instruments
- ✓ Regulate and determine money supply and credit
- ✓ Formulate and implement exchange rate policy
- ✓ Manage and administer the international reserve of Ethiopia.
- ✓ License and supervise

❖ Read about the mission and vision of the national bank from your teaching material.

2. Commercial Banks

- ❖ It is bank having commercial purpose and objectives whether governmental or not.
- ❖ Historically, commercial bank came into being for its commercial purpose.
- ❖ The inception of modern banking is the outcome of commercial bank. In the words of Professor Roger, "the bank which deals with money and money's worth with a view to earning profit is known as "Commercial bank.

Objectives of commercial bank is similar with those objectives of Banks as general above

General Function of Commercial Bank

1. Receiving Deposits:

- The first and foremost function of commercial bank is to receive or collect deposits from the public in different forms of accounts e.g. current, savings, term deposits.
- No interest is charged in the current account, lower rate of interest is charged in the savings account and comparatively higher interest rates charged in fixed deposits. Thus, commercial bank builds up customer network.

2. Accommodation of loans and advances:

- Providing loans and advances at higher rates than the deposit rates and thus earns profits on it.
- Working capital is accommodated to the borrower for expansion and smooth running of business.

- Credit accommodation is provided to the entrepreneurs for reviving sick and old industries as per Govt. directives. Thus, commercial bank also extends welfare services to the people at large.

3. Creation of Loan Deposits:

- Receives deposits from public and accommodates loans to public but also creates loan deposits. For example: while disbursing loans as per sanction stipulation, the amount of loan is credited to the borrower's account.
- The borrower may not withdraw the full amount at a time. The residual amount i.e. balance left in the account creates loan deposits.

4. Creation of medium of exchange:

- Central Bank has got exclusive right to issue notes. On the other hand, Commercial Bank creates medium of exchange by issuing cheques.
- Like notes, cheque is transferrable being popularly used in the banking transactions

5. Contribution in foreign trade:

- Commercial Bank plays a vital role in expediting foreign exchange and foreign trade business e.g. import, export etc.
- It contributes greatly in the economy through import finance and export finance and thus, earns foreign exchange for the country.

6. Formation of capital:

- Commercial Bank extends financial assistance for the formation of capital in the trade, commerce and industry in the country which expedites its economic development.

7. Creation of Investment Environment:

Commercial Bank plays a significant role in creating investment environments in the country

❖ Public Utility Functions:

In modern banking, commercial bank executes public utility services:

1. Remittance of Money:

Remittance of money to the public from one place to another is one of the functions of commercial bank. Remittance is effected in the form of demand draft , telegraphic transfer etc. through different branches and correspondents home and abroad.

2. Help in trade and commerce:

Commercial Bank helps expand trade and commerce. In inland and foreign trade customers are allowed credit accommodation in the form of letter of credit , bill purchased and discounted etc.

3. Safe custody of valuables:

Commercial Bank introduces, locker" services to the customers for safe custody of valuables e.g. documents, shares, securities etc.

4. Help in Foreign Exchange business:

While opening letter of credit, commercial bank obtains credit report of the suppliers and thus helps to expedite import and export business.

5. Act as a Referee: Commercial Bank acts as a referee for and on behalf of the customers.

6. Act as an Adviser:

Commercial Bank provides valuable advice to the customers on different products, business growth and development, feasibility of business and industry.

7. Collect utility service bills:

As a social commitment, Commercial Bank collects utility service bills e.g. water, electricity, gas, telephone etc. from the public.

8. Purchase and sale of prize bonds, sanchaya patra, shares etc.

Commercial Bank undertakes to purchase and sale of prize bonds, shares etc. as a part of social commitment.

9. Help people travel abroad:

Commercial Bank helps customers in traveling abroad through issuance of travelers cheques, drafts, cash etc. in favour of the customers.

Agency Functions:

Besides above stated functions, commercial bank acts as a representative of the customers.

1. Collection and payment:

Commercial Bank is engaged in collection and payment of cheque, bill of exchange, promissory notes, pension, dividends, subscription, insurance premium, interest etc. on behalf of the clients.

2. Purchase and sale of shares and securities:

Commercial Bank is entrusted with the responsibility of purchase and sale of shares and securities on behalf of the customers.

3. Maintenance of secrecy:

Maintenance of secrecy is one of the most important functions of commercial bank.

4. Act as trustee

Commercial Bank acts as a trustee on behalf of the customer.

5. Economic Development and Welfare activities:

- Commercial Bank contributes much for the welfare and economic development of the country.

Similarity and difference between central bank and commercial bank

- ❖ Central Bank and Commercial Bank are both financial institutions. But they have got distinguishing features. Central Bank is meant for national welfare and Commercial Bank is meant for earning profits. The following points of distinction between central bank and commercial bank:

Sl.	Points of distinction	Central Bank	Commercial Bank
01.	Formation	Central Bank is the sole banking Institution which is established through ordinance or special law of the Government.	Commercial Bank is formed on the basis of Banking Company Laws.

02.	Ownership	Central Bank is established under Government ownership.	Commercial Bank is established under both govt. and private Ownership.
03.	Purpose	To earn profit is not the main purpose of central bank. Its main purpose is to control credit system and money market.	The main purpose of commercial bank is to earn profit. Recovery of loan is the main stay for generation of profit.
04.	Number	In a country there is only one Central Bank.	In a country there are many commercial banks.
05.	Control	Government control.	central bank's control.
06.	Government Influence	Government has direct influence on	Government has indirect influence through Central Bank.
07.	Currency Market	Central Bank organizes, controls and administers currency market.	Commercial Banks are the members of the currency market.
08.	Competition	Central Bank does not compete with other banks.	Commercial Bank has to face to face lot of competition.
09.	Representative	Central Bank represents the country	Commercial Bank represents the

		or state.	Customers.
Foreign Branch	Central Bank has no branch abroad.	Commercial Bank may have many Branches abroad.	
Note issue	Note issue is the primary function of central bank.	Commercial Bank cannot issue notes.	
Credit control	Central Bank controls credit.	Commercial Bank assists central bank in controlling credit.	
Clearing House	Central Bank acts as a clearing house for settlement of inter-bank transactions.	Commercial banks are the members of the clearing house. They settle transactions through clearing house.	
Lender of	In case of any crisis, central bank last resort lends commercial bank as a last resort.	Commercial Bank gets assistance from central bank in case of need.	
Nature Of work	Central bank is not engaged in general banking activities i.e. to receive deposits, to lend, to create loan etc.	Commercial bank is engaged in receiving deposits, paying money, creating loan etc.	
Foreign Exchange	Central Bank controls foreign exchange.	Commercial bank helps central bank in	

		controlling foreign exchange.	
Investments	Central bank does not Make any investment for profitability purpose.	Commercial bank makes investments in various sectors for the purpose of profitability.	
Refinance Facility	Central bank refinances commercial bank against first class securities, bill of exchange.	Commercial bank takes refinance facility from the central bank.	
Development work	Central Bank formulates policy on development Work.	Commercial bank participates in the development program Initiated by the central bank.	

📌 Ethiopian Commercial Bank

Established by Ethiopian Council of minister regulation No. 202/1994,,, amended y regulation No. 134/2007,,,,,and still further amended by regulation No. 137/2017

- The history of the Commercial Bank of Ethiopia (CBE) dates back to the establishment of the State Bank of Ethiopia in 1942.
- CBE was legally established as a share company in 1963.
- In 1974, CBE merged with the privately owned Addis Ababa Bank. Since then, it has been playing significant roles in the development of the country.
- Pioneer to introduce modern banking to the country.
- It has more than 1280 branches stretched across the country.

- The leading African bank with assets of \$65.5 billion Birr as on June 30th 2018.
- Plays a catalytic role in the economic progress & development of the country.
- The first bank in Ethiopia to introduce ATM service for local users.
- Currently CBE has more than 18.8 million account holders and the number of Mobile and Internet Banking users also reached more than 1,736,768 as of June 30th 2018.
- Active ATM card holders reached more than 4.4 million.
- As of June 30, 2018, 1708 ATM machine and 11,796 POS machines were available.
- It has strong correspondent relationship with more than 50 renowned foreign banks like Commerz Bank A.G., Royal Bank of Canada, City Bank, HSBC Bank,...
- CBE has a SWIFT bilateral arrangement with more than 700 others banks across the world.
- CBE combines a wide capital base with more than 33,000 talented and committed employees.
- Pioneer to introduce Western Union Money Transfer Services in Ethiopia early 1990s and currently working with other 20 money transfer agents like Money Gram, Atlantic International (Bole), Xpress Money,...
- CBE has opened four branches in South Sudan and has been in the business since June 2009.
- CBE has reliable and long-standing relationships with many internationally acclaimed banks throughout the world

3. Investment Bank

- ❖ Investment bank is a firm that originates and distributes **new security issues of corporations and government agencies**.
- ❖ It purchases all of the new security issue from a corporation at one price and selling the issue in smaller units to the investing public at a price sufficiently high to cover expenses of sale and leave a profit.
- ❖ An investment bank (IB) is a financial intermediary that performs a variety of services.
- ❖ Investment banks specialize in large and complex financial transactions, such as
 - ✓ Acting as an intermediary between a securities issuer and the investing public,
 - ✓ Facilitating mergers and other **corporate reorganizations**, and

- ✓ **Acting as a broker and/or financial advisor** for institutional clients, or individuals.
- ✓ Major investment banks include Barclays, BofA Merrill Lynch, Rothschild, Goldman Sachs, Deutsche Bank,
- Investment bank **manages the trading of stocks, bonds and other securities** between companies and investors.
- ❖ An investment bank is nothing like the corner institution you're used to dealing with to get a **business loan or deposit your paycheck**.
- ❖ Instead, works primarily in high finance by helping companies access the capital markets (stock market and bond market, for instance) to raise money for expansion or other needs.
- ❖ Example, if Coca-Cola Enterprises wanted to sell \$10 billion worth of bonds to build new bottling plants in Asia, an investment bank would help it find buyers for the bonds and handle the paperwork, along with a team of lawyers and accountants.
- ❖ Sometimes, investment banks come up with novel solutions to solve difficult problems.
- ❖ Several decades ago, holding company Berkshire Hathaway had only a single class of stock. Due to the fact that its controlling shareholder, billionaire **Warren Buffett**, had refused to **split the stock**, the shares had grown from \$8 to \$35,400; far out of the reach of the typical investor.
- ❖ Money managers were creating mutual fund-like structures to buy these shares and then issuing shares in themselves, taking a fee, to make the firm accessible to ordinary families.
- ❖ Buffett didn't like these middlemen making wild promises about the potential returns he could generate when he had nothing to do with it, so to take away their business, he worked with his investment bank to create a **dual-class capital structure**.
- ❖ The Class A stock could be converted into the Class B stock at any time but you couldn't convert the Class B stock into Class A stock.
- ❖ This allowed investors to effect what amounted to a do-it-yourself stock split while making cheaper shares widely available.
- ❖ None of it would have been possible had investment banks not been working their magic. When well-regulated and prudently managed, they add a lot of value to civilization.

❖ Buying and Selling

- Investment banks are often divided into two camps: the buy side and the sell side.
- Many investment banks offer both buy side and sell side services.
- The sell-side typically refers to selling shares of newly issued bond, engaging in market making services, or helping clients facilitate transactions.
- The buy side, in contrast, works with pension funds, mutual funds, hedge funds, and the investing public to help them maximize their returns when trading or investing in securities such as stocks and bonds.

❖ Three Main Offices

- Many investment banks are divided into three categories that deal with the front office, middle office, or back office services.

• Front Office Investment Bank Services

- typically consist of investment banking such as
 - ✓ helping companies in mergers and acquisitions,
 - ✓ corporate finance (such as issuing billions of dollars in commercial paper to help fund day-to-day operations),
 - ✓ professional investment management for institutions or **high net worth individuals**,
 - ✓ merchant banking (which is just a fancy word for private equity where the bank puts money into companies that are not publicly traded in exchange for ownership),
 - ✓ Investment and capital market research reports prepared by professional analysts either for in-house use or for use for a group of highly selective clients, and
 - ✓ Asset allocation and risk limits.

• Middle Office Investment Bank Services

Middle office investment banking services include

- ✓ Compliance with government regulations and restrictions for professional clients such as banks, insurance companies, finance divisions, etc.
- ✓ It also includes capital flows. These are the people who watch money coming into and out of the firm to determine the amount of liquidity the company needs to keep on hand so that it doesn't get into financial trouble.
- ✓ The team in charge of capital flows can use that information to restrict trades by reducing the buying/trading power available for other divisions.

• **Back Office Investment Bank Services**

The back office services include the nuts and bolts of the investment bank. It handles things such as

- ✓ trade confirmations,
- ✓ ensuring that the correct securities are bought,
- ✓ Sold, and settled for the correct amounts,
- ✓ the software and technology platforms that allow traders to do their jobs are state-of-the-art and functional,
- ✓ The creation of new trading algorithms, and more.
- ✓ Often considered unglamorous and some investment banks outsource to specialty shops such as custodial companies. Nevertheless, they allow the whole thing to run. Without them, nothing else would be possible.

❖ **Activities**

➤ A typical investment bank will engage in some or all of the following activities:

- **Raise equity capital** (e.g., creating sale of stocks that can be placed with sophisticated investors such as insurance companies or banks)
- **Raise debt capital** (e.g., issuing bonds to help raise money for a factory expansion)
- Insure bonds or launching new products (e.g., such as credit default swaps)
- Engage in proprietary trading where teams of in-house money managers invest or trade the company's own money for its private account (e.g., the investment bank **believes gold**

will rise so they speculate in gold futures, acquire call options on gold mining firms, or purchase gold bullion outright for storage in secure vaults).

- Up until recent decades, investment banks in the United States were not allowed to be part of a larger commercial bank because the activities, although extremely profitable if managed well, posed far more risk than the traditional lending of money done by commercial banks.
- Countries such as Switzerland, in fact, often boasted asset management accounts that allowed investors to manage their entire financial life from a single account that combined banking, brokerage, cash management, and credit needs.
- Most of the problems you've read about as part of the credit crisis and massive bank failures were caused by the internal investment banks speculating heavily with leverage on collateralized debt obligations (CDOs).
- These losses had to be covered by the parent bank holding companies, causing huge write-downs and the need for dilutive equity issuances, in some cases nearly wiping out regular stockholders.
- A perfect example is the venerable **Union Bank of Switzerland**, or UBS, which reported losses in excess of 21 billion CHF (Swiss Francs), most of which originated in the investment bank.

Investment Banks In Ethiopia.

- Though a market economic policy has been adopted companies have not started offering their shares to the public and hence there is no conducive environment for the establishment and operation of these types of banks in Ethiopia.
- The European Investment Bank (EIB) opened an office in July 16, 2015, in Ethiopia.
- The bank will lend to water, energy and other state-run projects, as well as to the private sector in a country
- Ethiopia is trying to expand its modest industrial base and has been investing heavily in new roads, railways and hydro-electric power plants to draw in investors. .
- **In 2017, European Investment Bank Confirms €247m for Private Enterprise Financing in Ethiopia.**

- **November 22/2018** – At its Africa Day in Addis Abeba, the European Investment Bank (EIB) signed a new loan with the Ethiopian Ministry of Finance and Economic Cooperation “to further boost female economic inclusion and empowerment across the country

4. Saving Banks

Definition: a bank organized to hold funds of individual depositors in interest-bearing accounts and to make long-term investments (as in home mortgage loans)

- ❖ A savings bank is a financial institution that gathers savings and that pay interest or dividends to savers.
- ❖ It channels the savings of individuals who wish to consume less than their incomes to borrowers who wish to spend more.
- ❖ Savings banks frequently originated as part of philanthropic efforts to encourage saving among people of modest means.

Saving banks may includes the following;

- ✓ The **savings deposit departments of commercial banks**,
- ✓ Mutual savings banks or **trustee savings banks** (banks without capital stock whose earnings accrue solely to the savers),= originated in Great Britain to accept savings deposits from those with moderate means.
 - Their shares were not traded on the stock market but, unlike with mutually held building societies, depositors had no voting rights; nor did they have the power to direct the financial and managerial goals of the organization.
 - Directors were appointed as trustees (hence the name) on a voluntary basis.
- ✓ Savings and loan associations,
- ✓ credit unions:
 - A credit union is a type of financial co-operative.

- Ranging in size from small, volunteer-only operations to large entities with thousands of participants, credit unions can be formed by large corporations, organizations and other entities for their employees and members.
- Credit institutions are created, owned and operated by their participants.
- Any income generated is used to fund projects and services that will benefit the community and interests of its members.
- ✓ postal savings systems: start in **Great Britain(1861)**—access for poor and country side—in 1969—**chnged to national saving and investment banks**
- Many nations have operated banking systems involving post offices to promote saving money among the poor.
- ✓ Municipal savings banks
 - Except for the commercial banks, these institutions do not accept demand deposits
- **It is a financial institution** whose primary purpose is accepting saving deposits, paying interest on those deposits.
- It was originated in Europe during 18th c.
- Often associated with social good to encourage low income people to save money and have access to banking service.
- Saving Banks were set up by
 - ✓ Government, or
 - ✓ By Socially committed groups
 - ✓ By social initiation.
 - ✓ Organization such as **credit union**
- The first chartered saving in USA was the **Provident Institution for Saving in the Town of Boston—1816**
- **Philadelphia Saving Fund society**—also began business in the same year 1816, but was not incorporated as firm until 1819.
- The advent of Internet banking at the end of the 20th century saw a new phase in savings banks with the online savings bank that paid higher levels of interest in return for clients

No such specialized banking service yet started in Ethiopia which considered as Saving bank, but commercial bank saving account in form of deposit will be accepted as such.

Cooperative bank/Credit Union

- ❖ An association (as a credit union) owned by and offering banking services for its members

Cooperatives can be either retail banks or commercial banks. What distinguishes them from other entities in the financial system is the fact that they're typically local or community-based associations whose members help determine how the business is operated.

They run democratically and they offer loans and banks accounts, among other things. They're popular in countries throughout the world and in the U.S. they usually take the form of credit unions.

Like banks, credit unions issue loans, provide savings and checking accounts and meet other financial needs for consumers and businesses. The difference is that banks are for-profit companies while credit unions are not. Credit unions fall under the direction of their own members, who make decisions based on the opinions of elected board members.

Normally, credit unions only serve people affiliated with a particular group, like people living in the same area, low-income members of a community or armed service members. The fact that they tend to charge lower fees and lower loan rates are two good reasons to consider opening an account at a credit union.

5. Development Banks

- ❖ DBs are State-backed financial institutions that are concerned with the provision of long term loans to not only profitable projects but also to socially beneficial ones.
- ❖ Private banks and investors are unwillingly to risk their capital in long term investment. Thus, global frame work believed to provide incentive for private investment and public-private partnership.

- ❖ At the United Nations International Conference on Financing for Development in Addis Ababa on 13-16 July 2015, a comprehensive policy framework, the Addis Ababa Action Agenda (AAAA), was adopted, which i.a. underscored the potential role that development banks could play in achieving sustainable development
- ❖ As a result, investment risks are shifted from the private sector to the public sector, then to tax-payers.
- ❖ Development banks are typically independently incorporated and raise money through issuing bonds on the financial markets, so that their investments can boost the economy without affecting national budgets.
- ❖ In many countries such as Germany, Japan, France and Holland, development banks were intensely utilized to meet the needs of growing industry
- ❖ One of the main activities of development banks has been the **recognition and promotion of private investment opportunities**.
 - Although the efforts of the majority of development banks are directed toward the **industrial sector**, some are also concerned with **agriculture**.
- ❖ It refers to a national or regional financial institution engaged in providing **medium- and long-term capital and technical assistance for productive investment**.
 - The number of development banks has increased rapidly since the 1950s; they have been **encouraged** by the IBRD (International Bank for Reconstruction and Development) and its affiliates.
- The large regional development banks include the
 - ✓ **Inter-American Development Bank**, established in 1959; the
 - ✓ **Asian Development Bank**, which began operations in 1966;
 - ✓ **African Development Bank**, established in 1964.
- ❖ They may make loans for specific national or regional projects to **private or public** bodies or may operate in conjunction with other financial institutions.
- Development banks fill a gap left by **undeveloped capital markets** and the reluctance of commercial banks to offer long-term financing. Development banks may be publicly or privately owned and operated, although governments frequently make substantial contributions to the capital of private banks.

- The form (share equity or loans) and cost of financing offered by development banks depends on their cost of obtaining capital and their need to show a profit and pay dividends.
- The Development Bank of Ethiopia is established with the purpose of providing long-term loans to agricultural and industrial undertakings.

Ethiopian Development Bank

It is a specialized state owned development financial institution, which is supervised by the Public Financial Enterprises Agency in Ethiopia.

The "Development "Bank" of Ethiopia was established formally in 1951 "with the help of funds from the World Bank

- ❖ It is the first development finance institution in Ethiopia and designed to: "
 - ✓ Assist in the development of **industrial** and agricultural production
 - ✓ Foster the investment of private capital for productive purposes

Development Bank of Ethiopia has earned a net income of 491 million Ethiopian birr during the 2011/12 fiscal year.

Historically

Development bank was established in 1909 as **Societe Nationale d'Ethiopie Pour le Developpement de l'agriculture et de Commerce**. In 1945, it was replaced by Agricultural bank of Ethiopia.

Year	Name
1945-1949	Agricultural Bank of Ethiopia
1949-1951	Agricultural and Commercial Bank of Ethiopia

1951-1970	Development Bank of Ethiopia Share Company
1964-1970	Investment Bank of Ethiopia
1970-1979	Agricultural and Industrial Development Bank Share Company
1979-1994	Agricultural and Industrial Development Bank
1994-present	Development Bank of Ethiopia

6. Islamic banking

- ❖ Islamic banking is banking or banking activity that is consistent with the principles of Shariah—**interest-free banking**
- ❖ Shariah prohibits acceptance of specific **interest(riba)** or **fees for loans of money** (usury)—lending someone money with agreement that they will payback large amount money later
- ❖ The principles of Islamic finance are universal: you cannot make money off money. No one can charge or pay interest, or invest in items that Islam forbids such as alcohol and gambling.
- ❖ The first private interest free bank is the Dubai Islamic bank; it was set up in 1975. Since then more than 50 interest free banks have come into being.

- ❖ In most countries the establishment of interest free banking had been by private; in Iran and Pakistan, however, it was undertaken by government initiative and covered all banks in the country.

Rules of Islamic Banking:

1. Any predetermined payment over and above the actual amount of principal for any is prohibited.
2. The lender must share in the profits or losses arising out of the enterprise for which the money was lent for the business.
3. Making money from money is not acceptable in islam; money is only a medium of exchange, a way of defining the value of a thing
4. Gharar (uncertainty risk or speculation) is also prohibited. Any transaction entered into should be free from uncertainty risk and speculation.
5. Investments should only support practice or products that are not forbidden.
 - ❖ Trade in alcohol, for example would not be financed by an Islamic bank.
- ❖ Islam encourages Muslims to invest their money and to become partners in order to share profits and risk in the business instead of becoming creditors.

Ethiopian Islamic Banking

- ❖ In 2008, a proclamation by the National Bank of Ethiopia (NBE), Ethiopia's financial regulator, introduced interest-free banking in Ethiopia, and then in 2011, issued formal directives on Islamic-compliant finance.
- ❖ With support from US Aid, Mercy Crops launched the Somali Microfinance Institution; the first provider of Islamic compliant finance and banking services within the country. The institution has 16 branches and a growing client base.
- ❖ Among 102 million Ethiopia populations, Muslims are 40%, which is major reason for the promotion of Islamic Banking.
- ❖ Ten conventional banks are offering Islamic banking services in Ethiopia, and three more bank are going to offer Islamic banking services in near future.

- ❖ Islamic Banking is the dire need of the time which will not only increase the Financial Inclusion in the country rather will increase Economic Development, Foreign Direct Investment (FDI) and will help the poverty elevation
- ❖ He further said to retain balanced growth of Islamic banking industry, it is important to develop Takaful (Islamic Insurance), Islamic Microfinance, and Islamic capital markets.
- ❖ It is important to note that AlHuda Center of Islamic Banking and Economics aims to organize an International Islamic Banking conference in October 2018 in Ethiopia and 25 African countries are expected to participate in the conference.
- ❖ A Shari'ah Board (SB), also can be called as Shari'ah Supervisory Board (SSB) or Advisory Board (AB), is an independent body of specialized jurists in fiqh al mu'amalat (Islamic commercial jurisprudence)
- ❖ Islamic banks and other banks that offer Islamic banking products and services should establish a Shari'ah Supervisory Board (SSB) to advise them on whether their products comply, and to ensure that their operations and activities comply with Shari'ah principles.
- ❖ The board members should have both a sound understanding of Islamic law and adequate knowledge in finance.

The functions of Shari'ah Supervisory Boards (SSB)

1. Certification

That is it certifies Islamic financial products as being Shari'ah h-compliant (i.e. in accordance with Islamic law). The Shari'ah scholars on the board examines the financial product and then issues a Fatwa (legal opinion), in which the board confirms or negates compliance with the Shari'ah h. Then, the Fatwas will often be published and made available to a wider public (by all means available)

2. Supervisory function

The board will monitor the services, products and transactions of the organization to ensure that the business activities of the organization are in accordance with the principles of Islamic law.

3. Advisory function

The banks often seek the advice of the Shari'ah Board before introducing a new product to the market, establishing new funds or developing a new investment policy. And hence, the Shari'ah Board indeed exercises the advisory functions. **Advisory Function**

Occasionally banks will solely rely on internal consultants, though these consultants often have a background in finance and be well versed in Islamic law, there is still a great difference to the Shari'ah Board. They are not legal scholars and therefore cannot issue a Fatwa. Most of the time, Shari'ah Boards and internal consultants coexist. But, when it comes to aspects of applicability of legal norms and the role of the "transformational conduit", however, the external Shari'ah Board is the solely relevant institution.

Beside these major functions, the Shari'ah board has also other roles and responsibilities such as:

- Calculating zakah payable by Islamic financial institutions;
- Disposing of non-Shari'ah h-compliant income;
- Consult on the sharing of income or expenses among shareholders and investment account holders;
- The SSB issues reports (it may be quarterly, biannual, and annual) to certify that all financial transactions comply with the above-mentioned principles.
- The board also provide proof to investors that the business conducts of an Islamic financial institutions or the financial products are Shari'ah h-compliant.

Challenges to Islamic banking In Ethiopia

1. There is **no** controlling organ to make sure the fulfillment of shariah principles in banking transaction.
 - ❖ Islamic banks should be continually supervised by the Shari'ah boards and confirm the business activities are Shari'ah h-compliant.
 - ❖ Though the responsibility lies on the NBE, it did not made any progressive effort to manage the issues raised regarding Islamic banks in the country.

2. There is no established policy framework that promulgating Shari'ah law in financial transactions.

❖ That is why there are no well-established Shari'ah Board based on the standards set by IFSI and hence we can say that the business is not working effectively

3. Shortage of Shari'ah scholars in Banks that provide the services as well as the National Bank of Ethiopia's supervisors with the require knowledge.

❖ Almost all of the Ethiopian banks that provide interest free banking services did not have well established Shari'ah board due to lack of highly regarded, learned scholars, who are authorities on Islamic banking, evaluate and scrutinize all the products and services

The lack of Shari'ah board and lack of supportive supervisory directive have created lack of trust and confidence on the wider community and negatively affect the image of the business and its development.

- Finally it is a must that the role of the NBE and that of the Shari'ah board should be structured in such a way that it adequately regulate and supervise Islamic banking activities as well as protects public interest in Islamic banking in Ethiopia with qualified persons in such areas.

Micro-financial institute

- ❖ Micro financial institutions created for the credit needs of **peasant farmers and others engaged in small scale production** and service activities.
- ❖ Art 3(1) proc. No 626/2009—The main purpose of a micro-financing institution shall be
 - ✓ To collect deposits
 - ✓ To extend credit to rural and urban farmers
 - ✓ to micro and small scale rural and urban entrepreneurs,

Micro finance institution gets license from the National bank—Art 4(1) of proc. No. 626/2009, Art 5(7) of proc. No. 591/2008.

- ❖ National Bank issued different directives to regulate the activities of micro-finance institutes in Ethiopia. These are
 - **Minimum capital requirement directives No. MFI/27/2015**
 - ✓ Art4 (1): Minimum paid up capital to obtain Microfinance business license—Ten million fully paid in cash.
 - **Limit on Loans, Repayment Period and Provisioning Requirement Directives No. MFI/28/2016**
 - ✓ Art 6(1): total loan extended single borrower shall not exceed 1% of total capital of the Microfinance institute.
 - ✓ Art 6(2) If it is to **group of borrower**, shall not exceed 4%
 - ✓ Art 6(3), Maximum repayment period of loan shall be 15 years for housing loan, and 5 years for all other loans and advances.
 - **Interest rate applicable to micro-finance institutions Directive No. MFI/29/2017**
 - ✓ Art 3(1): Interest rate applicable for banks is also applicable for micro financial institute.
 - ✓ Art 1 of Interest rate directive No. NBE/TNT/12/2017; Banks freely determine interest rate for deposit account, and the **minimum interest rate on saving and time deposits 7% per annum.**

Amhara Microfinance

Omo Microfinance

Buusa Gonofa

Dedebit Microfinance

Wisdom Microfinance

Microfinance

Oromia Microfinance

Sidama Microfinance

PEACE Microfinance

Chapter Two

Major Banking Transaction

1. Types and concept of Banking Transaction

A. Deposit of Fund

Art 897—**Deposit account**—The contract of deposit of funds results in the opening of an account in the name of the depositor by the bank in which the latter enters all transactions made with the depositor.

The nature of contractual relationship between banks and customers

- ✓ Loan contract—Borrower-lender
- ✓ Custody/ safe hire—contract of custody
- ✓ Agency contract—acting as a representing the customers.

1. Borrower-lender—loan contract.

- ❖ The contract of deposit of funds is almost identical to contracts of loan of money or other fungible things.

Art. 2471:- —lone of money and other fungible is a contract where by a party, the lender undertake to deliver to the other party, borrower, a certain quantity of money or other fungible things and to transfer ownership right to the borrow.

Art 897—the contract of deposit of funds results in opening of account in bank.

Art 896—nature of the contract

❖ Mode of deposit—898

- ✓ Current account—depositor can dispose whole or some of the balance
- ✓ Saving account—right of depositor to demand repayment may be limited
- ✓ Fixed account/time limit account—withdrawal may not possible until the expiry of certain period.

Nature of the contract of Deposit

- ❖ Transfer ownership right totally from lender to borrower—from customer-to-banks—Art 896
- ❖ The bank should pay back the money at the time that the lender request—898(1)—the depositor can dispose at any time they want.
- ❖ Offer-acceptance
 - ✓ Ofference is made by customers—lender
 - ✓ acceptance is made by bank—borrower

- ❖ **Loan agreement for more than 500 birr should be made in written form attested by two witnesses—2472.**
 - ✓ But the loan agreement with bank is exceptional—2471—provision of Art 2472 is not applicable for the relationship between bank and their client.
 - ✓ For the relationship between bank and their clients, may be proved by witness or presumption—2473(2)

Discussion: Do you think that the exceptional conditions for banks and their client as provided under Art 2473(1) also include the written form requirement?

Hint: see Art 1723 c.c and civil code amendment proc. No. 639/2009 Art 2—new sub-article 3 added to Art 1723. The requirement of registration by court or notary is excluded for the contract concluded to provide security to loan extended by banks or Micro finance institution.

- ❖ Clients/customers required attaching property to get loan from the banks, but banks didn't attach any property to get loan from the clients.

Difference between loan agreement between bank —customers and regular loan agreement

1. No period of Limitation to request payment

- ❖ 2024—in general contract—after expiry of two years, there is a presumption of payment after expiry of two years which start to be counted from due date
- ❖ Art 52(1 &4) of Proc. No. 592/2008—unclaimed liabilities—will be transferred to National Bank after 15 years.
 - ✓ Then the depositor will collect the money from the NB from national bank without interest.

2. Place of payment

- ❖ 1755—Agreed place or permanent residence of debtor at time of conclusion of k.
- ❖ 901 of com. Code—unless otherwise agreed, payment (withdrawal) shall be made at the office of the bank where the account has been opened.

Discussion: how do you see the practice that banks are serving online service, which the depositor can request payment from the branch other than where they deposited fist.

- 902—several account—When a person have several account, the account operate separately unless agreed otherwise.

2. Safe custody/hiring of safe—bailment contract—"ye adera tekebayi ena askemacinet."—919, 913

- ❖ Banks enter in to agreement with the customer to give custody service/safe of valuable goods like jewelry, negotiable security (deposit of security), documents of title to properties.
- ❖ Banks deposit their customer's values in either of the following two ways:
 1. By accepting the valuables for safe-custody or
 2. By hiring out safe deposit boxes to their customers
- ❖ In such relationship, the ownership of the thing cannot transfer to bank. Thus bank cannot use the goods/property for its own purpose.
- ❖ The bank will not pay interest, rather accept fee from the customers for the safe service.
- ❖ Art 2779—Contract of bailment—is a contract where by a person (bailee), undertakes to receive a chattel from the other(bailer) and keep it on the latter's behalf.
- ❖ Art 919—hiring of safe contract—to place an object a safely or compartment for the hirer.
- ❖ Art 920—obligation of the bank
 - ✓ Upkeep or custody of safes
 - ✓ The bank shall take all necessary measures to protect the object from any potential risk.
 - ✓ The bank is not bound to give individual notice to their hirers
 - ✓ Art. 921. Ally the hirer is permitted to access the key, which remain with the property of the bank
- ❖ Obligation of hirer—Art—922
 - ✓ Not to keep any dangerous materials

✓ Payment of rent—Art—923

Deposit of security

A contract whereby an owner of securities (shares or stocks, government bonds and company bonds (debentures)) other right holder agrees to deposit the securities with a bank which agrees to provide safe custody.

- Art—913—Negotiable security/deposit securities—shares or stocks, government or company bond (debentures)—this is also shows the custody relationship of the bank and clients.
- Obligation of banks—Art 913—918
 - Duty to provide custody—913
 - Collection of yields of securities—914(1)
 - ✓ Collection of interest, dividend, capital repayment, amortization(to reduce a debt by paying small regular amounts)
 - Notification to depositor when a transaction involves the owner—915
 - ✓ Here the depositor of the security and the owner of the security should be different individuals
 - Duty to restate (restore—giving back) at any time requested by the depositor—916
 - ✓ Restitution should be made to depositor or person appointed by him, even if the security indicates that it is the property of the other 3rd party—917
 - Notify the depositor claim against the security—918

3. Agency contract relationship—912, 915(2)

Art 2199—Agency is a contract whereby a person, the agent, agree to represent the principal to perform a certain legal binding activity.

Art 2200—forms of agency—either express or implied form—bank represent the customers impliedly.

Implied agency—refers when the day-to-day activities of the agent and principal shows the existence of representation.

Bank performs the following activities based on the power given by the customers impliedly.

- ✓ Payment through cheque—827-886, promissory note—823-826, bill of exchange—735-822
- ✓ Sale of share or stocks--
- ✓ Payment of salary
- ✓ Transfer of fund

B. Bank Transfer

- ❖ Art 2(2, d, e),—banking business—transfer of fund to the other domestic or foreign persons in the name of the bank themselves or their customers
- ❖ Art 903—bank transfer—transferring money from one account to another upon the written and signed order of the transferor.
 - ✓ 903(2) transfer to bearer is not permitted
 - ✓ 903(3) when transference is made to 3rd party beneficiary, the name of the person should be cited there.

1. Transfer of title and cancellation of transfer order/opposition to transfer order (905, 906 & 910)

- ❖ Transfer order represents one form of demanding repayment by the depositor
- ❖ Depositor cannot order the bank to transfer the amount which exceed the balance of his account—908 & 105
- ❖ But it is possible to order the amount which exceeds the balance when there is special agreement with bank and there is sum-amount to be entered in the future within specified time.
 - ✓ Such transfer is called loan or overdraft provided by bank to transfer—905 & 908
- ❖ Art—906(1) The ownership right on the sum to be transferred to the beneficiary at the time when bank debts from the account of the person who orders transfer—Art 906(1)
- ❖ Art—906(2) Cancellation is possible until the time the bank debit from the account of the person who makes the order.
- ❖ Art 910—opposition to transfer order—person who order transfer may validly oppose the execution of a transfer order from the date of bankruptcy judgment of the beneficiary.
 - ✓ It is possible even if the instrument handed over to the beneficiary.

- ❖ Art 911—The bank may validly debit the account of the person ordered transfer before the beneficiary declared bankrupt.

Discussion: what is the relationship between Art 906(2) & Art 910? Is there any difference between them?

Cancellation: is made before the bank debts the account of the person order transfer.

Opposition: If there is judgment declaring bankruptcy of the beneficiary before the bank debit the account of the person order transfer, the person can oppose the transfer order.

- Their Difference is that the only existence of judgment declaring bankruptcy of the beneficiary under Art 910 as one ground, while the ground for cancellation as per Art 906(2) is not restricted.

Types of transfer—904

- A. Internal transfer:-where the accounts of the transfer and the transferee are opened within the same branch.
- B. External transfer:-where the accounts of the transfer and the transferee are opened at two different branches of the same bank.

Discussion: what if the customer wants to transfer the money to other bank? How do you see the international transference of money?

Electronic Bank Transfer—Art 2(8), 2(10), 2(13) of proc. No. 718/2011

It is a transaction that takes place over a computerized network, either among accounts at the same bank or to different accounts at separate financial institutions.

Includes:

- ✓ Automated teller Transfer—ATM
- ✓ Telephone transfer
- ✓ Internet Transfer
- ✓ Card—2(2)

Read Art
2(13) of
national
payment
Pr. 718/2011

- ❖ EFTs includes direct-debit transactions, wire transfers, direct deposits, ATM withdrawals and online bill pay services.

Features of electronic banking services in Ethiopia

<u>Electronic Banking Service</u>	<u>Features of service rendered</u>
<u>Internet Banking</u> - PD A - BE - VTR - ALAT	1. <u>Personal Profile</u> Administration 2. <u>Balance enquiry</u> 3. View daily <u>transaction register</u>, 4. Ability to <u>link</u> accounts together so that <u>transfers</u> can be completed from one <u>account</u> to another 5. <u>Customer Service</u> enquiry and resolution with in seconds 6. <u>View</u> check issuance status through the <u>register</u> 7. Password change and management <u>features</u> 8. <u>Intrusion</u> detection capability
<u>ATM Banking</u> LACWR	1. All <u>customers</u> will receive an <u>ATM</u> Card and Personal identification Number (<u>PIN</u>). 2. The ATM allows you to <u>receive</u> cash at <u>your</u> convenience. It also <u>allows</u> you to <u>check</u> your balance, make <u>transfers</u> and <u>deposit</u> cash.
<u>SMS Banking</u> - AAV - COWMB - IRAB - PMSOYM - RAAH	1. <u>Authentication</u> and <u>verification</u> 2. Check <u>daily</u>, <u>weekly</u> or <u>monthly</u> balance 3. <u>Interactively</u> receive account <u>balance</u> 4. Produce a <u>mini</u> statement on your <u>mobile</u> 5. <u>Receive</u> alerts and <u>notification</u> on: ✓ Low <u>balance</u> ✓ <u>Deposit</u> and <u>withdrawal</u> ✓ <u>Transfer</u> of funds from your <u>account</u> or into your <u>account</u>
<u>Call Center</u>	1. Secure delegated <u>24</u> hour service

Banking	2. Authentication and verification 3. Balance enquiry 4. View daily transaction register 5. Customer Service enquiry
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International Transfer

- ❖ International Transfer is widely practicable by international trade.

It is commonly accepted that there are four traditional methods of payments used in international trade. These are:

A. Prepayment—or Clean Payment in Advance

- ✓ The buyer pays the seller prior to the dispatch of the goods.
- ✓ Banks are not involved in the **method of payment**, other than in the **transfer of funds** under instructions
- ✓ No risky for seller but buyer.
- ❖ Applicable for low value goods, among new relation,

B. Open account—or clean payment

- ✓ Seller/exporter dispatched the goods before payment is made by the buyer.
- ✓ **Buyer promise to pay in the future predetermined date.**
- ✓ **No payment guarantee for the seller**
- ✓ Used in mature relationship
- ❖ Applicable for matured relationship—when the trading partners have confidence in each other

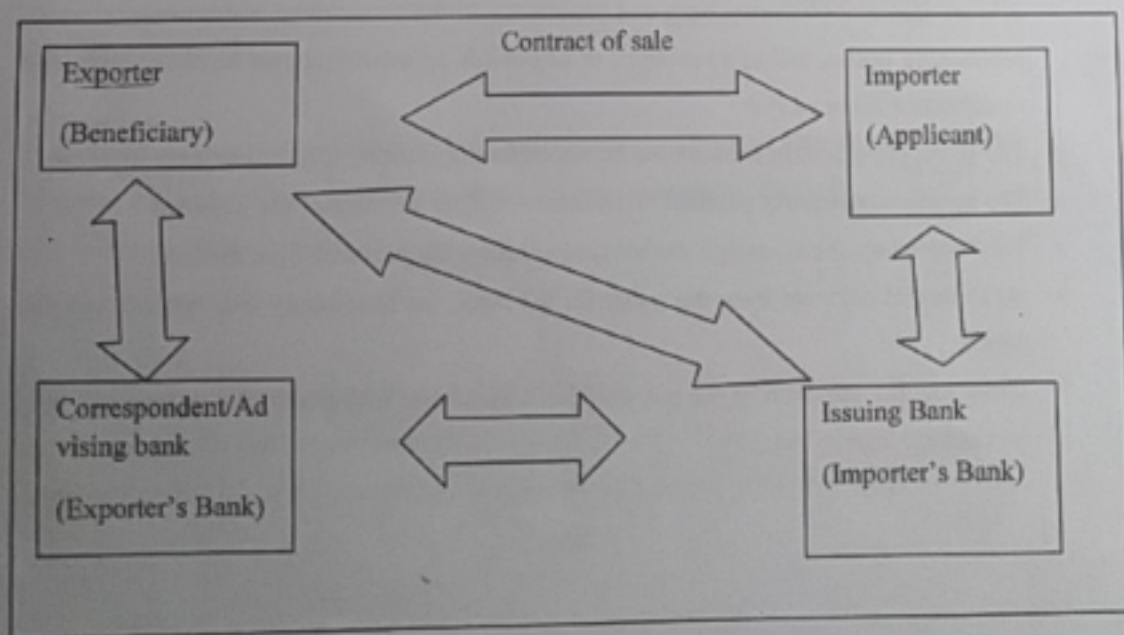
C. Bill of exchange.

- ✓ The seller/exporter dispatches the goods to the buyer and subsequently seeks payment through the buyer's bank via bill of exchange.
- ✓ The bank doesn't guarantee the payment.
- ✓ B/E does not guarantee payment and the seller has lost control of the goods to some extent as they are out of his country.
- ✓ The bank, under instructions, releases the documents required for the import of the goods to the buyer either against the promise of payment in the future, or against the immediate outright purchase of these documents.

- ✓ Thus, still no payment guarantee
- D. Documentary Credit/Letter of credit—959—969
 - A documentary credit is a credit provided to persons engaged in foreign trade particularly importers who need to pay the price of goods in foreign exchange.
 - ✓ It is the most complex but widely used mechanism for effecting payments required under international trade transactions.
 - ❖ There are five participants in the credit facilities.
 1. Issuing bank—the bank which issue LC—the importer's bank
 2. Exporter—Beneficiary—seller of the goods
 3. Importer—applicant for the LC—person who want LC
 4. Correspondent/Advising Bank—Facilitator bank in exporters country
 5. Transfer Bank—issuer branch bank which check the document and may give advance credit for the importer.
 - ✓ The Seller/Exporter is provided with conditional guarantee from the buyers bank prior to shipment of the goods.
 - ✓ By using a L/C the seller relies on the buyer's bank "to provide sound financial backing to the buyer's undertaking to pay.
 - ❖ L/C operations worldwide adhere to a specific set of rules issued by the ICC – the Uniform Customs and Practice for Documentary Credits, –UCP.
 - So an importer who intends to import goods in to the country has to apply to a bank to open a **letter of credit** in which the seller of the goods is the beneficiary.
 - Where the bank accepts the application of the importer, it opens the **letter of credit** equivalent to the price of the goods and transmits or communicates it to its branch (if it has a branch at the place where the seller is situated) or to a bank with which it has a correspondence.
 - The correspondent bank, which has received the letter of credit, shall notify the seller/beneficiary of the credit.
 - The correspondent bank shall pay the price of the goods to the beneficiary of the credit after receiving documents representing the goods such as an invoice, a bill of lading, a packing list and an insurance policy covering risks associated with

transportation (Where according to the contract of sale insurance is the obligation of the seller).

- The payment may also be made to third parties such as holders of bills of exchange to whom the right to receive the part or the whole of value of the letter of credit is transferred.
 - The correspondent bank which has paid the agreed amount to the seller or third parties to whom the right to receive payment is transferred, shall send the documents it has received from the seller to the opening bank.
 - The opening bank will hand over these documents to the importer after receiving the amount equivalent, in Ethiopian Birr, to the amount paid to the seller, interest and service charge (commission) for the service provided
 - In the absence of a contrary agreement, the bank is entitled to the hold and dispose of the goods imported (represented by the documents at its hand) and recover the amount of money it or its correspondent has paid plus interest and service charge or commission
- ❖ Art 961 recognizes two types of document credits; revocable credits and irrevocable credits.



Types of Documentary credit—961-964

1. Revocable credit—962

- ✓ Not binding undertaking between the bank and beneficiary
- ✓ May be modified or cancelled at any time without notice of beneficiary
- ✓ When the credit facility is transferred to branch or another bank other than the issuer, cancellation or modification can take effect only up on receipt of notice before payment or negotiation.

2. Irrevocable Credit—963

- ✓ Binding undertaking between the issuing bank and beneficiary.
- ✓ Payment, acceptance or negotiation contained in the credit will be duly fulfilled according to the terms and conditions provided there.
- ✓ If confirmed by the other bank, other than the issuer, its binding effect will continue—964(1)
- ✓ Modification and cancellation is only possible bilaterally—964(3)

2. Discount: 941-944

A bank discounts a commercial instrument for consideration, which is the difference between the value of the instrument and the discounted amount paid by the bank to the holder.

• Nature of the contract

- It is an agreement between bank and beneficiary of the commercial instruments (chaque, promissory notice, bill of exchange), or negotiable securities (interest on share, dividend or debenture on bond etc)
- The commercial instruments should be issued having definite time of payment in future.
- The beneficiary requires payment in advance—before due date of the payment
- The beneficiary should assign the banker to request the payment from the issuer
- On failure of payment from the issuer for the bank, the beneficiary will liable to pay the debt.
- There will be reduction of the value of the commercial instrument and the amount paid for the beneficiary—941(3)

- Bank may still charge interest on the paid amount or accept other commission—(941(2))

Calculation of interest and commission—Art 942

- ✓ **Interest—942(1)**
 - based on the time left for maturity of the payment, or
 - for shorter period if there is pawning transaction
- ✓ **commission—942(2)**—based on the value of the instruments
- ✓ **minimum amount** of interest and commission may be fixed in their agreement

Duties of the beneficiary—943

- ✓ Reimbursement of the unpaid instruments/securities
- ✓ Instrument accepted for discount will be reimbursed up to that amount.

Right of Banker—944

- ✓ Can exercise all right arising out of the instrument discounted by him—944(1)
 - Against **principal debtor**—based on the instrument (by representing the beneficiary)
 - Against **beneficiary** and other person jointly liable—based on discount agreement.
- ✓ The banker will get the reimbursement from the beneficiary including its interest and commission—944(2)

3. Open Credit—945--

- ❖ It is credit arrangement when the bank limits certain maximum amount money to be disposed by the beneficiary and repay based the time allowed by the bank.
- ❖ it is not based on the interest of the beneficiary

Nature

- ✓ There is agreement between the bank and the beneficiary
- ✓ May be granted for limited period or unlimited period—945(2)
- ✓ May be cancelled by death, incapacity, or suspension of payment by the beneficiary--946

- ✓ Bank will have right to sell the security on failure to pay the debt by beneficiary—Art 949—and Art 4 of proclamation No. 97/1998(A proclamation to provide for property mortgaged or pledged with by banks)
 - It has foreclosure right—right to be owner of the security on failure of repayment of the debt by the beneficiary.

Discussion: what if the bank gives credit without security? How they can ensure the payment?

Hint: They may lose foreclosure right and proceed through normal court procedure.